

Sole Source Justification for an Order Under the Federal Supply Schedule RFO FAR 8.401 and GSAM 538.7104-3(b)(1)(ii)

1. Identification of the agency and contracting activity

Contracting Activity	Customer Agency
U.S. Department of Labor (DOL) Office of the Senior Procurement Executive (OSPE) 200 Constitution Avenue, NW Room S-4307 Washington, DC 20210	U.S. Department of Labor Office of the Chief Information Officer (OCIO) 200 Constitution Avenue, NW Room N1301 Washington, DC 20210

2. Nature and description of the action being approved:

This Limited Sources Justification and Approval authorize and approves the issuance of a sole-source order against the General Services Administration (GSA) Federal Supply Schedules (FSS) Multiple Award Schedule (MAS) Contract Number GS-35F-393CA to General Dynamics Information Technology (GDIT) 3150 Fairview Park Dr. Ste 100, Falls Church, VA, 220420-4504. This is a sole-source action that will provide the continuity of operations for Employee Retirement Income Security Act of 1974 (ERISA) Filing Acceptance System II (EFAST2). The order will support EFAST2 operation and maintenance, annual filing-year rollovers (2026–2028 and prior years), daily data distributions to Employee Benefits Security Administration (EBSA), Internal Revenue Service (IRS), and Pension Benefit Guaranty Corporation (PBGC) and other sustainment activities. The order will provide a temporary contract to allow OCIO to complete acquisition planning and execute a competitive modernization acquisition without disrupting statutory filing cycles.

The period of performance will be for a base period of twelve (12) months with two (2) six (6) month option periods.

3. A description of the supplies or services required to meet the agency’s needs (including the estimated value):

The OCIO requires EFAST2 sustainment services to provide the following to EBSA, IRS, and PBGC:

- Annual rollover releases for filing years 2026, 2027, and 2028 (filing-year changes are released January 1 of the following year; e.g., 2026 filing year forms are released Jan 1, 2027).
- Support for three previous filing years.
- Development and release of fillable annual forms with instructions.
- Implementation of additional form requirements from IRS, PBGC, and EBSA for each filing year.
- Daily distribution of filing data to IRS, PBGC, and EBSA.
- Operation and maintenance of the EFAST2 system (supports ~1.2 million submissions per year).

The cost estimate includes infrastructure and software licensing for a one (1) year base and two (2) 6-month option periods.

Base Period:	
Option Period One (6 Months):	
Option Period Two (6 Months):	

Total: \$15,454,665.50

4. Identification of the authority and rationale:

The statutory authorities for this action are 41 U.S.C. § 3302, Requirements for Purchase of Property and Services Pursuant to Multiple Award Contracts and Pub. L. 108-136, Title XIV, Services Acquisition Reform Act of 2003. Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized.

Consolidated rationale:

- **Mission and statutory context:** EBSA administrators, under ERISA and the Internal Revenue Code, must file Form 5500 series reports; EFAST2 is the core capability for receipt, validation, storage, and distribution of those filings, supporting EBSA, IRS, and PBGC statutory responsibilities.
- **Incumbent exclusivity and operational necessity:** Since 2009 GDIT has designed, built, and continuously operated EFAST2 and currently retains exclusive control of critical operational artifacts required for immediate, reliable production operations and scheduled maintenance activities including source code, build/deploy scripts, test harnesses, configuration artifacts, operational documentation, interface credentials, and established secure feeds to IRS, PBGC, and EBSA that support daily distributions and annual rollovers. These artifacts and credentials are integral to the system's runtime, deployment pipelines, and interoperability with external agencies, and are therefore operationally necessary for systems sustainment and uninterrupted service delivery.

This exclusivity is the result of a multi-year, iterative development and modernization effort built on a legacy application architecture and proprietary deployment artifacts in a constrained vendor market and was compounded when the cloud migration occurred without an Agency-owned cloud landing zone, enterprise IAM tenancy, or formalized cloud governance and billing constructs. As a result, the incumbent provisioned and retains administrative control of the cloud tenancies, accounts, credentials, and operational processes, leaving DOL without administrative ownership or resource-level access to the cloud control plane. This technical construct establishes a single-source dependency that materially increases risk to service continuity, portability, and the Government's ability to transition or assume operations without incumbent cooperation.

- **Risk and timing:** Transitioning operations to a new provider without access to incumbent-held artifacts and credentials would require reengineering core functionality, rebuilding secure interagency exchanges, and revalidating interfaces. These activities introduce unacceptable schedule and operational risk, could disrupt statutory filing cycles, and would likely duplicate costs. A time-limited bridge contract of one 12-month base period with two 6-month option periods will provide continuity while the Government completes acquisition planning, executes market research, finalizes requirements, and conducts a competitive modernization procurement and cutover in a low-risk window.
- **Transition and anti-lock-in measures:** In order to facilitate the Government's ability to competitively modernize EFAST2, the transitional contract will impose specific deliverables, reserved rights, and enforceable protections. Contract terms will require Government delivery or escrow of source code consistent with RFO FAR 52.227-14 (Rights in Data—General) and Government reserved rights applicable to derivative works; documented identification of proprietary components and any third-party licensing encumbrances; and formalized escrow and access mechanisms for operational artifacts. GDIT will be required to provide a

Transition/Knowledge Transfer Plan with discrete milestones, acceptance criteria, and measurable exit conditions; to transfer runbooks, operational procedures, and security posture documentation; and to deliver infrastructure as code (IaC) templates, environment specifications, and data egress/ingress procedures. Security and access handoffs will be formalized via secure credential transfer or escrow. Contractual sever level agreements, audit rights, and validation testing obligations will ensure these deliverables are complete, usable, and sufficient to support a competitive follow-on procurement.

During the bridge period, OCIO will execute a contractor-led, government-overseen transition to operationalize those protections and to enable an Agency-owned cloud landing zone, governance model, and deployment pipeline. Required activities and deliverables include: an initial asset and dependency inventory; staged transfer of service account credentials and secrets into secure escrow; export and verification of source repositories and build artifacts; delivery and deployment of IaC and environment specifications into a DOL tenant; demonstration builds and end-to-end deploys into the Agency environment; joint validation of integration feeds to IRS, PBGC, and EBSA; remediation of any interoperability or configuration issues; and formal acceptance gates. These measures combined with documented, machine-readable artifacts, acceptance testing, and escrowed credentials will preserve near-term continuity while eliminating technical barriers to portability and enabling an open, competitive follow-on acquisition.

- **Time-bounded, risk-managed approach:** The proposed bridge contract will be expressly limited in scope and duration and structured as a time-bounded, risk-managed engagement to capture institutional knowledge, stabilize production operations, and prepare a well-scoped, competitive modernization acquisition. The bridge will fund only activities that reduce near-term operational risk and enable a clean handoff or competitive procurement, controlled data synchronization into an Agency landing zone, credential escrow, and validated deployment of artifacts into a DOL tenant with contractual exit gates and rollback procedures tied to filing cycles, interagency approvals, and production calendars.

Over years of iterative development, the system has accrued substantial technical debt that increases sustainment cost and operational risk. A measured modernization program executed in phases with pilot testing and defined acceptance gates will reduce delivery, processing, and maintenance time by replacing legacy, proprietary components with modern, secure, and automatable alternatives, streamlining business processes, and introducing infrastructure as code, pipelines, and automated testing. These changes materially reduce federal and contractor labor hours required for routine operations and enable long-term cost avoidance. For example, an existing IBM proprietary component in the legacy stack incurs recurring costs exceeding \$500,000 and is a candidate for replacement with modern, secure open-source or commercial off the shelf alternatives as validated by market analysis. The bridge contract's constrained, milestone-driven approach ensures continuity while de-risking and informing the subsequent competitive modernization effort.

Based on the above, only GDIT can immediately and safely maintain continuity of EFAST2 operations; therefore, a limited sole-source task order is in the best interest of the Government.

5. Determination by the ordering activity that the order represents the best value:

The Contracting Officer will determine that issuing the proposed order to GDIT represents the best value and will result in the lowest overall cost, considering price and administrative costs, to meet the Government's need. This order will be placed in accordance with FAR subpart 538.71 – "Federal Supply

Schedule Ordering Procedures” GSA has already negotiated fair and reasonable pricing, and discounts to the GSA Schedule rates will be requested. Additionally, prior to the issuance of the order, the ordering activity will consider the level of effort and the mix of labor proposed to perform the specific tasks being added to determine that the total price is reasonable. The Contractor’s labor mix and level of effort will also be compared to the Independent Government Cost Estimate (IGCE).

6. A description of market research conducted and the results or a statement of the reason market research was not conducted:

Market research was conducted consistent with FAR Part 10 and included review of historical contract pricing, Government-wide Acquisition Contract (GWAC) and GSA MAS labor rates, consultations with subject matter experts, and assessment of vendor capabilities. The research indicates that while multiple vendors can perform sustainment functions, no vendor currently demonstrates the ability to assume immediate production operations without access to incumbent-held source code, interface credentials, and configuration artifacts. Accordingly, a short-term transitional sole-source award is recommended to sustain operations while the Government secures necessary data rights, completes market engagement, and prepares a competitive modernization acquisition.

7. Any other facts supporting the justification:

Failure to award the bridge could suspend the ERISA-mandated filing application and risk data loss or service disruption. See Section 4 for the full rationale supporting a 12-month base period with two 6-month option periods.

8. A statement of actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services is made:

No sources expressed written interest in assuming immediate sustainment without access to incumbent-held artifacts and credentials. Market outreach indicates potential offeror interest for the future modernization once the Government obtains sufficient data rights and documentation. Planned actions and timeline to enable competitive modernization:

- Within 30–45 days of bridge award: finalize acquisition strategy and schedule; issue a Request for Information and host an industry day to assess COTS/configurable options and integration pathways.
- Within 90–120 days: publish draft solicitation for market feedback; refine PWS, data rights, service levels, integration requirements, and transition approach.
- Within 150–180 days: release final solicitation and host an industry day.
- Months 6–9: evaluate proposals, conduct discussions, and make award.
- Months 9–10: baselining and initiation of the 14-month modernization effort, including Authority to Operate (ATO)/security, interagency approvals, and environment provisioning.
- Months 10–23: development, integration, user acceptance, external vendor certification, parallel testing, and staged cutover in a low-risk window.

This timeline enables competitive procurement, interagency coordination, and a measured, testable transition.

9. Technical Certification:

The program/technical official further certifies that no conflict of interest exists in awarding a sole-source contract to the contractor identified herein.

I hereby certify that the supporting data, which are the responsibility of the technical personnel, and which forms a basis for this justification, is complete and accurate.

[Redacted Signature]

Contracting Officer's Representative

Contracting Officer's Certification:

I certify this justification is accurate and complete to the best of my knowledge and Belief.

[Redacted Signature]

Nicole D. Jacobs
Contracting Officer

Date

Approval:

[Redacted Signature]

Advocate for Competition (\$20M and Below)

Concurrence:

[Redacted Signature]